The Managing Director,
Sagad Farms Limited,
KM 28 Rano - Rurum Road,
Farar Gada, Tiga Dam,
Kano,

Dear Sir/Madam,

PROVISIONAL LOAN OFFER OF NGN 245,563,704.00 (TWO HUNDRED AND FORTY-FIVE MILLION, FIVE HUNDRED AND SIXTY-THREE THOUSAND, SEVEN HUNDRED AND FOUR NAIRA, ZERO KOBO) ONLY TO SAGAD FARMS LIMITED (FARMER AGGREGATION COMPANY)

We are pleased to inform you that Bank of Agriculture Limited has approved a loan of NGN 245,563,704.00 (Two hundred and forty-five million, five hundred and sixty-three thousand, seven hundred and four naira, zero kobo) only under the auspices of the Renewed Hope Smallholder Support and Value-Chain Fund (RH-SHF) in favour of Sagad Farms Limited for the direct procurement of inputs from accredited input producers and onward distribution of the input bundles to certified farmer clusters operating under the supervision and control of the Farmer Aggregation Company, subject to the following terms and conditions:

KEY FACTS

Amount approved	Interest rate	Tenor	Total repayable
NGN 245,563,704.00	**9% per annum**	**9 months**	**NGN 262,752,163.28**

FACILITY TERMS

Lender	Bank of Agriculture Limited
Borrower	Sagad Farms Limited (RC 771204)
Loan amount	NGN 245,563,704.00 (Two hundred and forty-five million, five hundred and sixty-three thousand, seven hundred and four naira, zero kobo) only
Loan purpose	To finance the direct procurement of inputs from accredited input producers and onward distribution of the input bundles to certified farmer clusters under the supervision and control of the Farmer Aggregation Company.
Loan period	nine (9) months from the date of first disbursement.
Interest rate	9% per annum, subject to variation as advised by the Central Bank of Nigeria.
Farmers covered	450 smallholder farmers under this aggregator.
Charges and fees	Appraisal Fee: 1% (% Approved Amount), deducted at disbursement. Monitoring Fee: 0.5% (% Approved Amount), deducted at disbursement. Documentation fee: to be assessed and forwarded to the borrower for settlement prior to disbursement of the facility. *The legal documentation fee covers charges relating to the perfection of legal and other documentation required for the loan. Where the provision proves inadequate, the borrower will be advised to make up the difference.*

IMPLEMENTATION PLAN

The approved loan will be applied in accordance with the plan below.

Supplier	Input / charge	Quantity	Amount
EL FIJIR AGRO	Extension Services	450 Items	NGN 22,500,000.00
Golden Fertilizer Limited	NPK 15-15-15	3,600 Bags	NGN 187,200,000.00
WACOT Limited	Motar	450 Items	NGN 17,445,600.00
	Working capital 5% of the eligible input cost, excluding Extension Services		NGN 10,232,280.00
	Insurance 4% of the eligible input cost, excluding Extension Services		NGN 8,185,824.00
Total loan amount			**NGN 245,563,704.00**

SECURITY

- Bank guarantee from Stanbic IBTC for NGN 245,563,704.00, covering the principal and accrued interest of the facility.

REPAYMENT

Repayment falls due in accordance with the schedule set out in the approved credit terms. Any outstanding principal together with accrued but unpaid interest shall be repaid in full on or before expiry of the loan tenor.

On the terms above, interest over the facility period is NGN 17,188,459.28, and the total repayable is NGN 262,752,163.28.

CONDITIONS PRECEDENT TO DRAW DOWN

1. Acceptance of this offer, including its terms and conditions.
2. Completion of legal documentation through execution of the loan agreement and submission of the security documents recorded on this facility, in form and substance acceptable to the Bank.
3. Board resolution of the company accepting this loan offer, including the terms and conditions set out in it.
4. CAC status report confirming the company's status as active on the Companies Registration Portal.
5. Settlement of all documentation fees associated with perfection of the facility, including solicitors' fees.
6. Evidence of payment of the up-front charges set out below.

OTHER CONDITIONS

- The Bank shall monitor performance of the loan periodically and may request any information regarding it, including financial records, which the borrower is obliged to produce.
- The Bank reserves the right to vary the interest rate in line with any variation advised by the Central Bank of Nigeria. Any such

variation shall be communicated formally, takes effect from the date specified in the Bank's notice, and shall be deemed to form part of this loan offer.

- Submission of annual financial statements to the Bank during the tenor of the loan.
- Acceptance of this loan offer creates no legal obligation on the part of the Bank unless and until the conditions have been fulfilled and legal documentation executed.
- The Bank may recover past due principal and interest by debiting the borrower's account with any financial institution.
- All recovery fees and charges in the event of default shall be debited to the borrower's account.
- The facility shall be utilised strictly for input financing through the input suppliers and producers approved under the programme.
- Disbursement is made to the approved input suppliers, not as cash to the borrower.

PAYMENT OF UP-FRONT CHARGES

On confirmation and acceptance, kindly pay all up-front charges into the account below.

Bank name: **Bank of Agriculture (BOA)**
Account name: **Renewed Hope Small Holders Fees**
Account number: **0016840374**

VALIDITY OF OFFER

This offer remains valid for seven (7) days from the date above, and lapses automatically if it is not accepted within that period. The offer therefore expires on 10 June 2026.

If these conditions are acceptable, kindly sign over a ₦50 stamp in the acceptance section below and return this document to the Bank within the validity period.

Yours faithfully,
BANK OF AGRICULTURE LIMITED

Head, Product & Segment Department

For: Managing Director / Chief Executive Officer

Company Secretary / Legal Adviser

ACCEPTANCE

We accept this loan offer, including the terms and conditions set out in it, for and on behalf of Sagad Farms Limited (RC 771204).

To be signed over a ₦50 stamp.

Authorised signatory 1

Name: _____

Designation: _____

Signature: _____

Date: _____

Authorised signatory 2

Name: _____

Designation: _____

Signature: _____

Date: _____